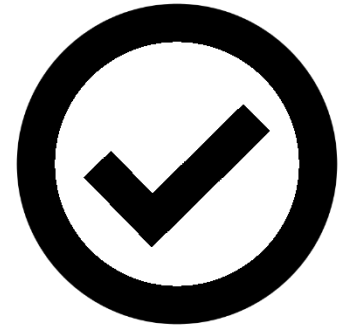




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



PAYROLL ACCOUNTING

(125)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer (20 @ 2 points each) _____ (40 points)

Job 1: Calculating Payroll (46 @ 1 point each) _____ (46 points)

Job 2: Payment of Payroll (12 @ 2 points each) _____ (24 points)

TOTAL POINTS _____ ***(150 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morris Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals unless otherwise indicated.
- Assume employees earn overtime for any hours worked over 40 in a week unless otherwise instructed.
- All time calculations are rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

2 points each = 30 points

Multiple Choice	
1.	B
2.	D
3.	D
4.	A
5.	B
6.	C
7.	C
8.	C
9.	B
10.	D
11.	C
12.	B
13.	B
14.	A
15.	C
16.	C
17.	A
18.	B
19.	D
20.	C

2 points each = 12 points

Short Answer	
1a	\$4,382.92
1b	\$2,022.88
1c	\$1,011.44
1d	\$25.29
1e	\$37.94
2a	\$24.74
2b	\$37.11
2c	\$36.10
2d	\$54.15
2e	\$16.33
2f	\$24.50
3a	\$619.40
3b	\$38.40
3c	\$8.98
3d	\$33.75
3e	\$76
3f	\$10
3g	\$341.46
3h	6.22% or 6.2%
3i	5.45% or 5.5%

Job 1: Calculating Payroll (1 point for each answer in red = 46 points)

NAME	M	T	W	TH	F	Total Pieces	Rate per Piece	Gross Pay
Johnson, T.	54	55	59	62	60	290	\$1.60	\$464.00
Anderson, S.	24	28	30	31	27	140	\$2.80	392.00
Simmons, L.	63	69	59	62	50	303	\$1.55	469.65
Thomas, A.	68	65	72	74	75	354	\$1.18	417.72
Balderas, A.	52	48	66	48	51	265	\$1.50	397.50

Using the information you found on these five employees, complete the following payroll register. For the Federal Income tax, use 8% of their gross pay. They live in a state with no state income tax. Fill in the remaining amounts to determine their net pay.

NAME	Total Earnings	Fed Income Tax	Social Security	Medicare	Total Deductions	Net Pay
Johnson, T.	\$464.00	\$37.12	\$28.77	\$6.73	\$72.62	\$391.38
Anderson, S.	392.00	31.36	24.30	5.68	61.34	330.66
Simmons, L.	469.65	37.57	29.12	6.81	73.50	396.15
Thomas, A.	417.72	33.42	25.90	6.06	65.38	352.34
Balderas, A.	397.50	31.80	24.65	5.76	62.21	335.29
TOTALS	\$2,140.87	\$171.27	\$132.74	\$31.04	\$335.05	\$1,805.82

Job 2: Journalizing the Payroll (2 points for each answer in red = 24 points)

GENERAL JOURNAL Page 1						
DATE	ACCOUNT TITLE		DOC. NO.	POST REF.	DEBIT	CREDIT
20--	Dec	15	Salary Expense	C425	2,140.87	
			Employee Inc. Tax Payable			171.27
			Social Security Tax Payable			132.74
			Medicare Tax Payable			31.04
			Cash			1,805.82